



DIRECTIVE
FINANCIAL SERVICES BOARD
REPUBLIC OF SOUTH AFRICA

LONG-TERM INSURANCE ACT, 1998 (ACT 52 OF 1998)

Addressee:	Long-term insurers		File:	10/17/1 & 17/2/B	
Edition	Issue date	Effective date	Directive	Status	Withdrawal date
1 st	30 January 2004	01 February 2004	53.A.i (LT)	In force	-
2 nd	-	-	-	-	-
3 rd	-	-	-	-	-
Subject:	Approval of appointment of statutory actuary / Statutory actuaries as directors of long-term insurance companies				

1. Introduction

This directive sets out the Registrar's policies regarding the approval of the statutory actuary of a long-term insurer as well as the directorship of the statutory actuary.

2. Approval of appointment of statutory actuary

The criteria, which apply to all applications for approval of the appointment of statutory actuaries, are as follows:

- 2.1 An applicant will be considered for approval as a statutory actuary of a long-term insurer if s/he is a natural person who is permanently resident in the Republic, is a Fellow of the Actuarial Society of South Africa, has as an actuary appropriate practical experience and has a valid practising certificate as issued by the Actuarial Society of South Africa. To act as the statutory actuary of a particular insurer, the appointment must have been supported by the management of that insurer and approved by the Registrar.

The required application form (available on the website (www.fsb.co.za) of the Financial Services Board (FSB)) and necessary documentary evidence must be provided to the Registrar.

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- 2.2 The Registrar has the right to refuse approval in any instance where s/he considers such action justified, even though the applicant fulfils the foregoing requirements.
- 2.3 The Registrar will exercise his/her discretion in considering such approval to *inter alia* accept a practising certificate with qualifications in instances where s/he considers such action justified and to make special arrangements not inconsistent with the afore-going in the case of partners in a professional practice.
- 2.4 Should a statutory actuary cease to be a Fellow of the Actuarial Society of South Africa or to be permanently resident in the Republic or if his/her practising certificate is not renewed, his/her approval as a statutory actuary will automatically lapse.

3. Statutory actuaries as directors

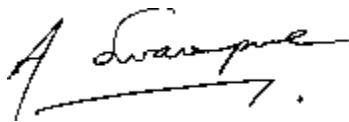
The appointment of the statutory actuary of a long-term insurer as a director of that insurer or *vice versa* will not be considered undesirable. However, a managing director or chairman of the board of directors may not simultaneously also be the appointed statutory actuary.

4. Request

The Registrar must be informed when a statutory actuary whose appointment has already been approved is appointed as a director of an insurer or when a director of an insurer is appointed as the statutory actuary of that insurer. The Registrar must also be informed of the status of the statutory actuary concerned on the board of directors of the insurer.

5. Information sharing

This directive is available on the website (www.fsb.co.za) of the FSB. Insurers must bring this directive to the attention of their appointed auditors and statutory actuaries.



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